



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

('ZICARP')

DS 1 – Disclosure Specification for the

Market Disclosure Framework



TABLE OF CONTENTS

1. INTRODUCTION	3
2. OVERVIEW OF ZICARP	5
3. DUTIES AND ACCOUNTABILITIES UNDER ZICARP.....	6
4. MARKET DISCLOSURE FRAMEWORK AND POLICY.....	9
5. NATURE OF DISCLOSURE AND FREQUENCY.....	11
6. STRUCTURE OF THE SFCR AND RSR.....	12
7. CONTENTS OF THE SFCR AND RSR	14
8. MINIMUM FINANCIAL STATEMENT DISCLOSURES.....	23
9. ADDITIONAL PUBLIC DISCLOSURE REQUIREMENTS	25
10. GENERAL ADMINISTRATIVE DISCLOSURE REQUIREMENTS	27
11. GLOSSARY	30

1. INTRODUCTION

- 1.1 The Market Disclosure Framework under ZICARP is meant to boost public confidence, market discipline, empower policyholders and prospective investors in making informed decisions.
- 1.2 Furthermore, the Market Disclosure Framework will ensure an effectively supervised, safe and sound insurance industry.
- 1.3 The objectives of the Market Disclosure Framework are as follows:
 - 1.3.1 Ensuring that all insurance companies provide sufficient, timely and detailed information so that all stakeholders are to make informed and accurate assessments of the insurer's financial condition, performance, risk profile, risk management practices, corporate governance, and compliance programmes;
 - 1.3.2 Ensuring that insurance companies' Board and senior management maintain oversight over the information to be published; and
 - 1.3.3 Application of proportionality in reporting requirements. Ensuring that the scope of disclosure is related to the size and nature of activities of the insurer.
- 1.4 Section 5 of the Insurance Act [Chapter 24:07] mandates the Insurance and Pensions Commission ('IPEC' or the 'Commission') to achieve the following objectives, *inter alia*:
 - 1.4.1 Protection of the rights, benefits and other interests of policyholders and beneficiaries;
 - 1.4.2 Monitoring of the solvency of insurers and the maintenance of sound insurance principles and practices in the conduct of insurance business in Zimbabwe; and



- 1.4.3 The regulation and strengthening of the insurance market in Zimbabwe.
- 1.5 Against this statutory mandate, IPEC has developed this Disclosure Specification 1 on the Market Disclosure Framework ('DS 1') under Pillar III of the ZICARP framework.
- 1.6 DS 1 should be read in conjunction with DS 2 to DS 9 which implement supervisory reporting and public disclosure under Pillar III of the ZICARP framework.

Effective Date

- 1.7 This updated Specification version 2 of the Market Disclosure Framework is effective 1 January 2023 and should be read in conjunction with Circular 23 of 2021 which implements ZICARP.

2. OVERVIEW OF ZICARP

2.1 ZICARP is a principles-based solvency assessment and management regime introduced by IPEC with the aim of establishing capital requirements and risk management standards that result in greater alignment between the risks faced by an insurer and the capital it requires for it to remain a going concern.

2.2 ZICARP is premised on three broad pillars as shown below:

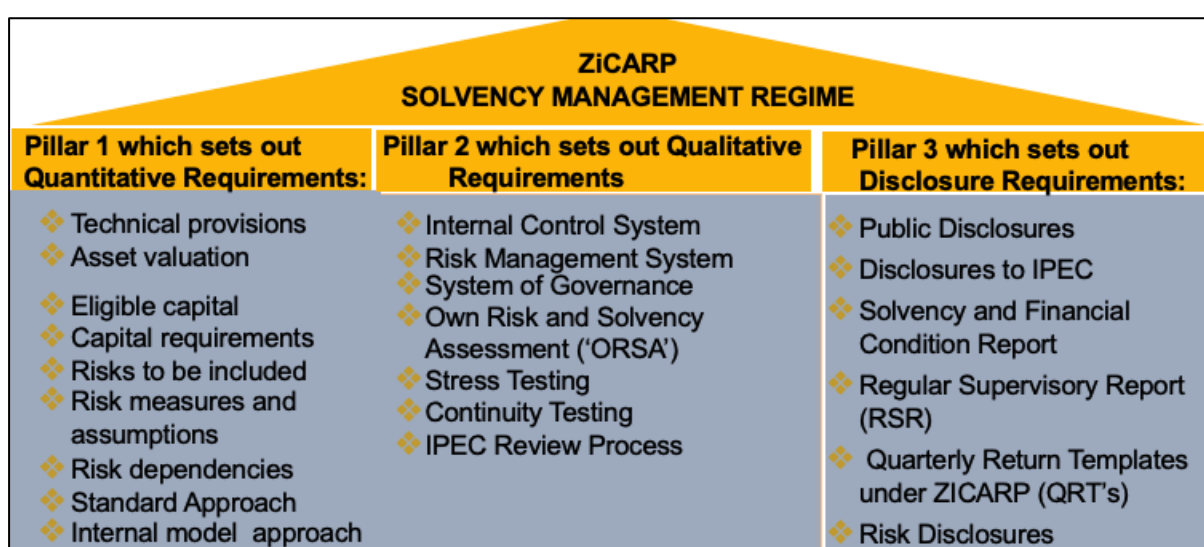


Figure 1: Pillars of ZICARP

2.3 This Market Disclosure Framework read together with Disclosure Specifications 2 to 8, set out the market disclosure requirements under Pillar 3 of ZICARP.

Application

2.4 This framework applies to all insurers that are licensed and supervised by the Insurance and Pensions Commission ('IPEC' or the 'Commission').

2.5 Insurers are required to conduct and submit their Market Disclosure reports to the Commission with effect from 1 January 2023.



3. DUTIES AND ACCOUNTABILITIES UNDER ZICARP

Board of Directors

- 3.1 The ultimate responsibility for the solvency assessment and management of the insurer rests with the Board of Directors ('Board'). The Board of an insurance company must ensure that the insurer meets all the risk-based capital requirements at all times.
- 3.2 Specifically, the Board must ensure the following at all times under ZICARP:
 - 3.2.1 That an insurer holds appropriate level and quality of capital that is commensurate to the risks to which the insurer is exposed;
 - 3.2.2 That an insurer maintains an appropriate level and quality of Own Funds to meet the SCR on a continuous basis;
 - 3.2.3 That there are procedures put in place to continuously monitor the financial health of the insurer, and to identify all possible deteriorations in capital or business conditions of an insurer; and
 - 3.2.4 That IPEC is notified within a reasonable time, normally interpreted as three calendar months of any circumstances that may lead to a deterioration of the financial health of an insurer or of circumstances that may result in the insurer failing to meet any of the risk-based capital requirements under ZICARP.

Actuarial Function

- 3.3 The Actuarial Function will report to the Board and provide assurance that the calculations of solvency capital requirements are accurate and compliant with the requirements of the ZICARP framework.



- 3.4 The Head of the Actuarial Function or the Appointed Actuary shall report to IPEC directly and within one (1) month in circumstances:
- 3.4.1 Where the insurer has breached, or is likely to breach the Absolute Minimum Capital Requirements under ZICARP;
 - 3.4.2 Where the insurer has ceased holding effective reinsurance cover;
 - 3.4.3 Where an insurer or its directors may have contravened the Act or any other law and the contravention may prejudice the interests of the policyholders; and
 - 3.4.4 Any other circumstances have been established that will compromise the insurer's ability to meet policyholder obligations.

External Audit

- 3.5 The External Audit function must audit the financial health of an insurer in accordance with its legal and regulatory obligations. The Auditor must report to the Board and IPEC any matters identified during the audit process that may cause the insurer not to be financially sound.

Risk Management Function

- 3.6 The Risk Management Function within an insurer reports to the Board and must:
- 3.6.1 Provide specialist analysis and perform risk reviews;
 - 3.6.2 Identify, measure, monitor and manage the risks the insurer faces;
 - 3.6.3 Gain and maintain an aggregated view of the risk profile of the insurer at an enterprise-wide and individual business unit level;
 - 3.6.4 Conduct regular stress testing and scenario analyses, including in respect of outliers or matters with low probability but high potential impact; and
 - 3.6.5 Have oversight of ERM and ORSA implementation.



Internal Audit

- 3.7 The Internal Audit function shall perform regular independent and objective assessments of key components of ZICARP.
- 3.8 The head of the Internal Audit function shall submit a report to the board of the insurer with its material findings and remediation on key components of the ZICARP framework. Such a report will further be furnished to IPEC within thirty days after conduct of the audit.
- 3.9 However, shall there be material issues which prejudice policyholders or threaten viability of the insurer the head of internal audit shall immediately report to the Commission.

Compliance Function

- 3.10 The Compliance Function shall have the authority and obligation to promptly inform the chairperson of the board directly in the event of any contravention of the Insurance Act [Chapter 24:07] and any other major non-compliance by a member of management or any staff member for that matter or a material non-compliance by the insurer with the ZICARP framework or an external obligation.
- 3.11 This shall apply where he or she believes that management is not taking the necessary corrective actions and a delay would be detrimental to the insurer or its policyholders. The chairman of the board will be required to report to IPEC any such occurrence and institute an investigation and/or remedial action within seven (7) days.
- 3.12 Detailed roles and accountabilities under ZICARP are further outlined in Technical Specification 1 and Governance and Risk Specifications 2, 3 and 4.



4. MARKET DISCLOSURE FRAMEWORK AND POLICY

Disclosure Framework

- 4.1 Every insurance company shall develop and maintain a formal disclosure framework, approved by its Board, which at a minimum should meet the disclosure requirements contained in this framework.

Disclosure Policy

- 4.2 Every insurance company shall develop and maintain a formal disclosure policy, approved by its Board, which at a minimum should meet the disclosure requirements contained in this guideline. The policy should provide details of all areas of disclosure by every insurer.
- 4.3 The disclosure policy should provide for the Board and/or senior management oversight over the information to be published. Disclosure information should be verified for accuracy before dissemination.
- 4.4 While disclosure requirements are standard, the scope of disclosure will vary depending on the size and nature of activities of the insurer. The disclosure policy should specify the disclosures that are relevant for the insurer based on materiality and appropriateness.
- 4.5 All insurance companies are expected to provide sufficient, timely and detailed information that allows stakeholders to make informed and meaningful assessment of the insurer's financial condition, performance, business activities, risk profile, risk management practices, corporate governance and compliance programmes.



Components of the Disclosure Guidelines

- 4.6 There are seven (7) components in the proposed disclosure framework:
- 4.6.1 Solvency and Financial Condition Reports;
 - 4.6.2 Regular Supervisory Report and Quantitative Reporting Templates,
 - 4.6.3 Validations that must be done on quantitative reporting templates, including supplementary information that must accompany the Regular Supervisory Report;
 - 4.6.4 Disclosure requirements in the event of material changes in risk profile and happening of predefined events;
 - 4.6.5 General Financial Statement Disclosures;
 - 4.6.6 General Disclosure to Policyholders; and
 - 4.6.7 General Administrative Disclosure Requirements.



5. NATURE OF DISCLOSURE AND FREQUENCY

Solvency Disclosures

5.1 Insurance companies should produce and disclose the following under ZICARP at a minimum:

5.1.1 Solvency and Financial Condition Report (SFCR);

5.1.2 Regular Supervisory Reporting (RSR); and

5.1.3 Quantitative Reporting Templates (QRT) forms.

Frequency of Disclosure

5.2 The reporting frequencies, submission formats, audit requirement, signing off requirements and target audience of the disclosure documents are tabulated below:

Report	Frequency of Reporting	Format for submission	Audit Requirement	Report sign-off	Target Audience
SFCR	Annually	Electronic copy via company website	Recommended for audit	Approval by Board	Public document
RSR	Once every three (3) years	Electronic copy	No	Approval by Board	Regulator
QRTs	Quarterly	Electronic copy	No	Approval by Board	Regulator



6. STRUCTURE OF THE SFCR AND RSR

Characteristics of SFCR and RSR

- 6.1 The following table outlines the characteristics of the SFCR and RSR reports:

RSR	SFCR
Stand-alone document submitted to the regulator	Standalone document to be made available to the public
The wording and content are aimed at the regulator and hence it should be more detailed	The wording and content are aimed at the stakeholders and therefore the report should be understandable and well structured
More focused information	Only public information should be disclosed

Structure of SFCR and RSR

- 6.2 The SFCR and RSR must contain the following mandatory sections as outlined in the table below:

Section
A. Business and Performance
A1. Business profile and information
A2. Underwriting performance
A3. Investment performance
A4. Performance of other activities
B. System of Governance
B1. General information on the system of governance
B2. Fit and proper requirements
B3. Internal control system
B4. Internal audit function
B5. Actuarial function
B6. Outsourcing
B7. Other Information
C. Risk Management and Profile
C1. Risk Management system including Own Risk and Solvency Assessment (ORSA)
C2. Underwriting risk



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

Section
C3. Market risk (Including Investment credit risk)
C4. Credit risk
C5. Liquidity risk
C6. Operational risk
C7. Other material risks
D. Valuation Results for Solvency Purposes
D1. Assets
D2. Technical provisions
D3. Non-Technical liabilities
D4. Alternative methods for valuation
D5. Any other information
E. Capital Adequacy and Management
E1. Own Funds
E2. The Solvency Capital Requirement and Minimum Capital Requirement
E3. Non-compliance with the MCR and non-compliance with the SCR
E4. Tiering of capital



7. CONTENTS OF THE SFCR AND RSR

- 7.1 The SFCR and RSR reports should disclose the following sections:
- 7.1.1 Disclosure of business performance;
 - 7.1.2 Disclosure of system of governance;
 - 7.1.3 Disclosure of risk management and profile;
 - 7.1.4 Disclosure of valuation results for solvency purposes; and
 - 7.1.5 Disclosure of capital adequacy and management.
- 7.2 Detailed guidance on each of the above disclosures is covered in section A to E below.

A. DISCLOSURE OF BUSINESS PERFORMANCE

- 7.3 Insurers should disclose the following business performance information in the SFCR and RSR reports:
- 7.3.1 Company profile and information;
 - 7.3.2 Underwriting performance;
 - 7.3.3 Investment performance; and
 - 7.3.4 Performance on other activities.
- 7.4 Subsections A1 to A4 below provide guidance on each of the above disclosures.

A1. COMPANY PROFILE AND INFORMATION

- 7.5 Each insurer should publish information about its company profile which includes the nature of business, a broad description of key products offered, the external environment under which the insurer functions, aims and objectives and strategies to achieve the objectives.
- 7.6 Additionally, insurers should describe the following:
- 7.6.1 The name and location of the legal or the natural persons that are direct and indirect holders of qualifying holdings in the



undertaking (including the immediate and ultimate parent entity or natural person), the proportion of ownership interest held and, if different, the proportion of voting rights held;

7.6.2 A list of material related undertakings including:

- i) The name;
- ii) Legal form;
- iii) Country;
- iv) Proportion of ownership interest held and, if different, proportion of voting rights held;
- v) A simplified group structure.

A2. UNDERWRITING PERFORMANCE

7.7 Each insurer should report on its premiums, claims and expenses by business line and geographical location. Additionally, each insurer should give a high-level explanation of its existing reinsurance covers.

A3. INVESTMENT PERFORMANCE

7.8 Each insurer should report on the investment performance of funds that are invested on behalf of policyholders and shareholders.

A4. PERFORMANCE OF OTHER ACTIVITIES

7.9 Each insurer should describe in general other business activities that it carries out to support its insurance business e.g., leasing arrangements.

B. DISCLOSURE OF SYSTEM OF GOVERNANCE

7.10 Insurers should disclose the following information on the system of governance in the SFCR and RSR reports:

7.10.1 General information on system of governance;

7.10.2 Fit and proper;

7.10.3 Internal controls;

7.10.4 Internal audit;

7.10.5 Actuarial function; and

7.10.6 Outsourcing.



B1. GENERAL INFORMATION ON SYSTEM OF GOVERNANCE

7.11 Each insurer should:

- 7.11.1 Report on the structure of administrative and management bodies;
- 7.11.2 Assess system adequacy and required to disclose material changes; and
- 7.11.3 Consider remuneration policies (relationship between risk and remuneration).

B2. FIT AND PROPER

7.12 Each insurer should:

- 7.12.1 Disclose the process for assessing fitness and propriety of persons responsible for key functions; and
- 7.12.2 Disclose the minimum requirements for skills, knowledge and expertise of persons in key functions.

B3. INTERNAL SYSTEM

7.13 Each insurer should give an overview of its internal control systems covering the following areas:

- 7.13.1 Administrative and accounting procedures;
- 7.13.2 Delegation of responsibilities, reporting lines and segregation of duties; and
- 7.13.3 Integration of compliance function.

B4. INTERNAL AUDIT

7.14 Each insurer is obliged to submit a report on the operation and independence of its internal audit function.

B5. ACTUARIAL FUNCTION

7.15 Each insurer is obliged to report on the responsibilities and objectivity of its actuarial function.



B6. OUTSOURCING

- 7.16 Each insurer is obliged to report on the location and ownership of its providers.

C. DISCLOSURE OF RISK MANAGEMENT AND PROFILE

- 7.17 Insurers should disclose the following information in the SFCR and RSR reports:

7.17.1 Risk management system including ORSA;

7.17.2 Risk categories; and

7.17.3 Self-insurance.

C1. RISK MANAGEMENT SYSTEM INCLUDING ORSA

- 7.18 Each insurer should:

7.18.1 Provide an overview of risk management system including risk strategy and processes to achieve compliance with risk appetite; and

7.18.2 Provide details on process used to conduct the ORSA, which should at least cover the following:

- a) Integration;
- b) Frequency of review;
- c) Determination of solvency needs given its risk profile; and
- d) Evidence, internal documentation and independent assessment.

C2. RISK CATEGORIES

- 7.19 Each insurer should report on its risk exposures, concentrations, mitigation strategies, and level of sensitivity to the following key risks:

7.19.1 Underwriting risk;

7.19.2 Market risk;

7.19.3 Credit risk;

7.19.4 Liquidity risk;

7.19.5 Operational risk;



- 7.19.6 Asset-liability modelling risks; and
- 7.19.7 Any other material risks.

- 7.20 For each risk category the insurer should provide details on recent historical development, its limits and risk appetite.

- 7.21 **Material risk concentration:** Each insurer should provide a description of the types and level of risk concentration for both assets and liabilities. Additionally, each insurer should describe the methods and assumptions used to arrive at quantitative data.

- 7.22 **Risk mitigation:** Each insurer should describe its risk mitigation strategy and methodology.

- 7.23 **Sensitivity:** Each insurer must perform and disclose a sensitivity analysis for each risk category and show how the profit and loss and equity will be affected by the risk.

C3. SELF INSURANCE

- 7.24 To manage self-insurance risks, every insurance company shall disclose a summary of its policies on self-insurance transactions, which should include the description of self-insurance in terms of:
 - 7.24.1 Types of policies under self-insurance;
 - 7.24.2 Applicable limits of liability;
 - 7.24.3 Total gross exposure on all policies under self-insurance;
 - 7.24.4 Total net exposure on all policies under self-insurance;
 - 7.24.5 Total premiums on all policies under self-insurance; and
 - 7.24.6 Current claims experience per policy type for all policies under self-insurance policies and procedures for approving and monitoring these transactions.



D. DISCLOSURE ON VALUATION FOR SOLVENCY PURPOSES

- 7.25 SFCR and RSR reports produced by an insurer should disclose the following information pertaining to its regulatory balance sheet for solvency purposes: a) assets; and b) liabilities.

D1. ASSETS

- 7.26 For both tradable and non-tradable assets, a description of:
- 7.26.1 Types of assets;
 - 7.26.2 Basis, methods and assumptions used for valuation;
 - 7.26.3 Quantitative and Qualitative explanation of differences to accounting valuation;
 - 7.26.4 Certification of compliance with the 'prudent person principle';
 - 7.26.5 Financial instruments and how they are valued; and
 - 7.26.6 Any differences to the financial statements.

D2. TECHNICAL PROVISIONS (TPs)

- 7.27 Each insurer should disclose its technical provisions. The report on technical provisions should include the following:
- 7.27.1 Amount of best estimate liabilities (split by line of business);
 - 7.27.2 Key assumptions and methodologies used e.g. (discount rates, expenses mortality rates etc.);
 - 7.27.3 Prior year comparison (material changes); and
 - 7.27.4 Quantitative and Qualitative explanation of differences to accounting valuation.

D3. OTHER LIABILITIES

- 7.28 Each insurer should highlight:
- 7.28.1 Types of other material liabilities, bases and assumptions used in valuation;
 - 7.28.2 Material differences to the accounting valuation; and
 - 7.28.3 Differences between group and solo valuations.



D4. GENERAL GUIDANCE ON LIABILITY VALUATION

- 7.29 The insurer shall disclose the fair value or market value of its financial assets and liabilities in a way that permits basic asset-liability matching permutations. Disclosure of fair value information shall include disclosures of the method(s) used in determining fair values and the significant assumptions made in its application.
- 7.30 The insurer is required to disclose the value of its insurance liabilities valued by an Appointed Actuary on annual basis together with the audited financial statements. The valuation must then be used for the purpose of calculating the insurer's Minimum Capital Requirements in accordance with Technical Specification 5.
- 7.31 In determining the value of its insurance liabilities, an insurer (after taking advice from its Statutory Actuary) must determine the value for both its:
- 7.31.1 Outstanding claims liabilities; and
 - 7.31.2 Premiums liabilities for each class of business.
- 7.32 The insurer's Liabilities Valuation Report must provide sufficient information in relation to the assumptions and methods used for the valuation of liabilities clearly indicating:
- 7.32.1 The valuation process and results;
 - 7.32.2 Any inherent limitations in the process and results; and
 - 7.32.3 The key risks pertaining to the insurance liabilities of the portfolio.

E. DISCLOSURES OF CAPITAL MANAGEMENT AND ADEQUACY AMOUNT

E1. STRUCTURE AND QUALITY OF OWN FUNDS

- 7.33 Each insurer should provide information on:
- 7.33.1 Structure, amount and quality of own funds (split by tier) covering its MCR and SCR;
 - 7.33.2 Objectives, policies and processes for managing own funds;



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

- 7.33.3 Quantitative/Qualitative explanation of differences between own funds and equity;
- 7.33.4 Ancillary own funds – detailed guidance given in Technical Specification 4 – Determination of Eligible Own Funds; and
- 7.33.5 Analysis of significant movements over the period reported on own funds.

E2. MINIMUM CAPITAL REQUIREMENT AND SOLVENCY CAPITAL REQUIREMENT

- 7.34 Each insurer should provide:
 - 7.34.1 Qualitative and Quantitative information on the results and calculation of MCR and SCR; and
 - 7.34.2 Details of movements over the year.

E3. NON-COMPLIANCE WITH THE SCR AND MCR

- 7.35 Maximum amount, amount at reporting date and period throughout the year including consequences and remedial action.

E5. QUALITY OF THE CAPITAL

- 7.36 Every insurer shall provide a detailed breakdown of the amount and quality of capital held at the end of each financial year as outlined below:

Assets / Liabilities	Market Value (\$)	Previous Year's Value	Quality of Capital e.g., tier 1 or 2 or 3
Cash and money market instruments			
Government securities or prescribed assets - government, parastatals, local authorities			
Prescribed assets - private companies not related to Government			
Term deposits			



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

Assets / Liabilities	Market Value (\$)	Previous Year's Value	Quality of Capital e.g., tier 1 or 2 or 3
Quoted equities			
Unquoted or private equities			
Property			
Premium debtors			
Administrative assets/ operational assets (e.g., funeral parlour, coffin manufacturer, coffins)			
Other assets (specify) - Other receivables			
Other assets (specify) - Intangible assets			
Total Assets			
Total Liabilities			
Total Eligible Funds			
Total Tier 1 Funds			
Total Tier 2 Funds			
Total Tier 3 Funds			



8. MINIMUM FINANCIAL STATEMENT DISCLOSURES

8.1 The following broad areas constitute the minimum disclosures expected for every insurer when reporting its year-end results:

- a) Chairman's statement;
- b) Auditor's report;
- c) Director's report;
- d) Financial statements comprising:
 - i) Statement of financial position and statement of comprehensive income;
 - ii) Statement of changes in equity;
 - iii) Cash flow statement; and
 - iv) Maturity profile of assets and liabilities.
- e) Notes comprising a summary of accounting policies and other explanatory notes; and
- f) Capital adequacy and solvency position.

8.2 The financial disclosure requirements outlined above, should be done in accordance with the relevant International Financial Reporting Standards (IFRSs).

8.3 The frequency and timelines for disclosure of information are given below:



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

Type of Disclosure Report	Disclosure Method	Due dates	Applicable to	To be Certified by
1.Audited Financial statements including income statement, cashflow statement and statement of changes in equity	To be published by the insurer in at least two (2) widely read local newspapers	30 June of each year	Registered insurance companies	External auditors, Board
2.Audited Financial statements - income statement, cash-flow statement and statement of changes in equity	Submission of Audited financials to IPEC	31 March of each year	Registered insurance companies and brokers	External auditors, Board
3.Unaudited Management Accounts	Submission of quarterly returns in the prescribed format to IPEC	21 January, 21 April, 21 July and 21 October of each year	Registered insurance companies and brokers	Principal Officer and Finance Director
4.Summarised financial statements (statement of financial position and income statement)	To be provided to clients at any of their offices on request	Upon request after publication of the results	Registered insurance companies and brokers	Principal Officer and Finance Director



9. ADDITIONAL PUBLIC DISCLOSURE REQUIREMENTS

- 9.1 Insurers should disclose financial statements to the public over and above the SFCR, RSR and QRT disclosure requirements. Additionally, insurers should disclose enough information to policyholders (both existing and prospective policyholders) to help them make informed decision.

DISCLOSURE TO POLICYHOLDERS

- 9.2 In addition to public disclosure requirements, it is the responsibility of every insurer to develop a mechanism to keep policyholders well informed and educated about insurance products, claims and complaint-handling procedures and to the adequacy of disclosure of “material information” to the policyholders. These disclosures shall:
- a) Be maintained from the point of sale and at periodic intervals during the subsistence of the insurance contract;
 - b) Put in place proper procedures and effective mechanism to address complaints and grievances of policyholders; and
 - c) Ensure compliance with the statutory requirements as laid down in the regulatory framework.

DISCLOSURES ON NON-COMPLIANCE ISSUES

- 9.3 Each and every insurance institution shall disclose all issues of non-compliance with the Insurance Act, Regulations, Money Laundering and Proceeds of Crimes Act and other applicable laws. Among other issues, the disclosure statement should include violations relating to:
- a) The capital adequacy ratios below the prudential minimum thresholds;
 - b) Prescribed assets ratios below the statutory limits;
 - c) Non-compliance with minimum corporate governance standards as laid out in the Insurance Act or Regulations; and



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

- d) Circulars, directives or guidelines issued by the Insurance and Pensions Commission or any other applicable enactments.

9.4 Every non-compliant insurance company shall:

- a) Disclose the causes of non-compliance; and
- b) Provide a statement of the proposed compliance plans and timeframes for addressing the non-compliance.

9.5 Despite fully complying with the minimum guideline standards in this Guideline, it is the responsibility of the insurance company to provide sufficient additional disclosures, should the need arise, in order to give a true and fair representation of the true status of the institution.



10. GENERAL ADMINISTRATIVE DISCLOSURE REQUIREMENTS

PROPOSAL FORMS

- 10.1 The insurance proposal form is an important and basic document required prior to the issuance of an insurance contract between the insured and insurance company. From consumer protection as well as a know-your-customer point of view, a proposal form contains the insured's valuable information like address, age, name, education, occupation and insurance benefits expectation.
- 10.2 Every insurer, insurance broker or agent shall put in place measures to ensure that proposal forms are completed and are well documented and authenticated before issuance of an insurance policy.

POLICY SCHEDULE

- 10.3 Every insurer, insurance broker or agent shall provide each insurance customer with a policy schedule. The policy schedule is an important disclosure document to third parties such as the regulator, arbitrators and the courts. Any ambiguity in an insurer's proposal form or policy wording will be construed against the insurer.
- 10.4 In order to avoid any disputes over risks covered, policy wordings must be precise, clear and written in plain, easily understandable language. Policy schedules, policy wordings (whether in electronic or physical format) should be received by policyholders within 14 (fourteen) working days from the date the proposal form was signed by the proposer, beneficiaries and finance company or bank since it is a detailed record of the policy, including the level of cover, excess and details of other conditions.
- 10.5 Insurance companies should ensure that policy schedules (whether in electronic or physical format) are received by policyholders within 14



(fourteen) working days from the date the proposal form or renewal instructions were signed by the proposer.

POLICY WORDINGS

- 10.6 The Policy wording is the terms and conditions and definitions of insurance coverage as they are written down in the insurance policy. Any ambiguity in an insurer's proposal form or policy wording will be construed against the insurer.
- 10.7 In order to avoid any disputes over risks covered, policy wordings must be precise, clear and written in plain, easily understandable language.
- 10.8 Policy schedules, policy wordings (whether in electronic or physical format) should be received by policyholders within 14 (fourteen) working days from the date the proposal form was signed by the proposer.

COMPLAINTS HANDLING PROCEDURES

- 10.9 The Commission is aware of the efforts by the insurance industry to provide their customers with competitive services. However, occasionally it is possible that players may fail to meet policyholder's expectations.
- 10.10 An insurance company shall disclose to its policyholders a Complaints Handling Procedure on its policy documents, notice board, website or other on-line platforms. The Complaints handling procedure should clearly show the contact details of their complaints handling officials such as the email address, physical address, mobile numbers and/or other online portals.
- 10.11 The complaints handling procedure must spell out the format in which the complaints (whether electronic or physical) should be submitted.



- 10.12 Upon receipt, the insurance company shall promptly acknowledge receipt and assure their client that they are dealing with the issue as a matter of urgency, providing expected timelines for addressing the complaint whilst divulging the contact details of the office of the arbitrator or IPEC in extreme cases.

REINSURANCE TREATY AND ITS PROOF OF PAYMENT

- 10.13 The Commission considers reinsurance treaty program to be critical in risk mitigation. Accordingly, at the end of every quarter, half-year or yearly depending on the applicable treaty anniversary, the insurance company, reinsurance company or reinsurance broker shall furnish the Commissioner with copy treaty programs per cedent accompanied by proof of payment of such reinsurance treaties.
- 10.14 The Insurance and Pensions Commission reserves the right to cause a presentation by the insurance company to clarify to the Commission further on any issues related to the reinsurance programme submitted.

TRADING LICENCE

- 10.15 In line with the Insurance Act, no insurance company, reinsurer, broker or agent shall trade in insurance business without a licence from the Commission.
- 10.16 As evidence of licencing, each registered player shall display its operating licence issued by the Commission on a conspicuous place in all its operating premises including branches.
- 10.17 From time to time, the Commission or its inspectors may carry out random checks on disclosure of licences in clearly visible places in all the office premises of any insurance institution.



11. GLOSSARY

Basic own funds (BOF): the excess of assets over liabilities, valued in accordance with ZICARP rules, adding back subordinated liabilities, and less any exclusions under ZICARP.

Compliance risk: The risk of legal or regulatory sanctions resulting in a financial loss, or loss of reputation as a result of an insurer's failure to comply with laws, regulations, rules, related self-regulatory organisation standards, and codes of conduct.

Economic balance sheet: Balance sheet statement based on one of those accounting approaches using market-consistent values for all current assets and current obligations relating to in-force business, including off-balance sheet items.

Economic capital: Internally defined capital measure based on the companies' valuation of the market-consistent value of assets minus the market-consistent value of obligations.

Economic value: The practise of valuing assets and liabilities on market values where observable with a given quality (mark-to-market), where not, on market-consistent valuation techniques (mark-to-model).

Fair value: The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Funeral insurance: A life policy with a low sum assured intended to pay for the burial costs on the death of the insured.

Group insurance: Contracts in which insurance cover is provided to a number of insured people (normally a workforce) or a number of other individual risks of one party, usually the counterparty, or many affected parties, which are not necessarily parties under the contract, under a single master contract.



Insurance group: A group structure which contains two or more insurers.

Insurance contract: A contract under which one party (the insurer) accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder or its beneficiary if a specified uncertain future event (the insured event) affects the policyholder.

Legal risk: The possibility that lawsuits, adverse judgements from courts, or contracts that turn out to be unenforceable, disrupt or adversely affect the operations or condition of an insurer.

Life insurance: Category of insurance contracts for which the benefit payment is based on the occurrence of death, disability, or critical illness of the insured within the specified coverage term, or on the life status of the insured at maturity.

Liquidity risk: The risk stemming from the lack of marketability of an investment that cannot be bought or sold quickly enough to prevent or minimize a loss.

Longevity risk: Type of biometric risk. A change in value caused by the actual mortality rate being lower than the one expected.

Management risk: Type of business risk. The risk associated with an incompetent management or a management with criminal intentions.

Market discipline: The creation of disciplining pressure through the publication of financial information and other information about the insurer's activities to the public, sometimes only to policyholders, providing transparency, hence allowing market participants and policyholders to assess key organizational and product information.

Market consistent valuation: The practise of valuing assets and liabilities on market values where observable with a given quality (mark-to-market), where not, on market-consistent valuation techniques (mark-to-model).



Market value: The amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction; based on observable prices within an active, deep and liquid market which is available to and generally used by the entity.

Minimum capital requirement: The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.

Mortality risk: Type of biometric risk. A change in value caused by the actual mortality rate being higher than the one expected.

Non-life insurance: Generic term used to refer to all types of insurance business other than Life insurance, including for example Property insurance, Liability insurance, Motor insurance, Accident insurance, and Health insurance.

Operational risk: Risk of a change in value caused by the fact that actual losses, incurred for inadequate or failed internal processes, people and systems, or from external events (including legal risk), differ from the expected losses.

Premium risk: An underwriting risk. A change in value caused by ultimate costs for full contractual obligations (claims without administration costs) varying from those assumed when these obligations were estimated.

Pricing risk: Term used to describe the fact that for a range of reasons premiums may turn out to be too low to cover the insurer's expenses related to claims, claims handling, and administration.

Reinsurance: an arrangement whereby an insurer transfers all or part of a risk to a reinsurer to provide protection against the risk of the first insurance. Retrocession refers to the process by which a reinsurance company purchases cover from another reinsurance company to cover its risks.

Required economic capital: The total of assets measured at market-consistent value, internally required by an insurer above the market consistent value of



obligations, in order to reduce the risk of not meeting the obligations to a defined risk measure, and within a defined time period (e.g., one year).

Risk margin: A generic term, representing the value of the deviation risk of the actual outcome compared with the best estimate, expressed in terms of a defined risk measure.

Solvency capital requirement: The amount of capital to be held by an insurer to meet the Pillar I requirements under ZICARP.

Technical provision: An insurer's contractual obligations/rights under an insurance contract.

Total balance sheet approach: Principle which states that the determination of an insurer's capital that is available and needed for solvency purposes should be based upon all assets and liabilities, as measured in the regulatory balance sheet of the insurer, and the way they interact.s